

Burners

Companies that give dividends don't actually owe it to you — it's just a nice little bonus. So sometimes, if they burn through their money that year, they have nothing to offer their shareholders. In 2020, during the COVID pandemic, companies such as Estée Lauder and Ford Motors paused their usual dividends. The thing is, dividends come from the profit a company makes, so if profits are low or nonexistent, they may choose to not pay out to their shareholders — and there's nothing you can do about it. You have to be careful of burners; if you're trying to pay your mortgage with dividends, this can be a pain.

Calculations

It's important to not get sucked into the lure of some high-yield dividend offers and look at what is really being offered. Sometimes companies provide very high yields, which is the percentage you get in dividends for each share you have invested.

For example, if you owned \$100 of stock A, and the dividend yield was 20 per cent, you'd get back \$20 as a dividend. If you had \$100 of Stock B, and the yield was 5 per cent, you'd get \$5 as a dividend.

Stock A seems more attractive, if you just look at the dividend yield, but it may not be the best option. Let me tell you a little industry secret: those who speak the loudest have the most to hide.

A company that provides a wildly high dividend ('wildly high' is really anything that's above 6 per cent), is usually trying to lure investors into buying their shares because the company may be in trouble. An investor in training knows that if they're trying to invest for dividends, they are better off with stocks that give lower dividends but are more reliable than investing in companies that promise high dividends but go bankrupt in a few days.

It's also important to note not all companies give dividends; some companies may look at dividends as getting in the way of their growth. For example, imagine you are the CEO of a fast-growing electric car company. The company makes \$1 billion in net income. Nice. You could distribute this to all your shareholders, or you could use this money to invest back into your company, investing in research, more engineers and bigger factories or